

Subject Code	AF5373
Subject Title	ESG Investment and Green Finance
Credit Value	3
Level	5
Pre-requisite/ Co-requisite/ Exclusion	Co-requisite: AF5343 Quantitative Methods for Finance (or equivalent)
Objectives	This subject is designed to provide updated knowledge about 1) the key concepts, principles, disclosures, regulations and major challenges (e.g., climate risk and disclosure standardization) of Environmental, Social and Governance (ESG) issues; and 2) different frameworks for incorporating ESG and responsible investing practices from both the investor and corporate boardroom perspectives. The various approaches to ESG investing such as ESG inclusion, ESG engagement and ESG screening, will be covered comprehensively. The full spectrum of ESG products and strategies across the equity and fixed income asset classes will be covered such as green bonds and sustainability indexing. This subject contributes to the achievement of the MSc in Economics Programme Outcomes by enabling students to formulate financial strategies and envision their outcomes.
Intended Learning Outcomes	Upon completion of the subject, students will be able to: - Gain an overall picture of the major concepts, topics, history and future of ESG. - Grasp some important economic principles and approaches to various ESG investing. - Identify and evaluate the major types of sustainable finance and green products. - Understand the mainstream theories, underlying drivers and financial impacts of corporate social responsibility. - Equip with the knowledge about the current stage and future trend of ESG reporting, the perception of climate risk, and the development for carbon pricing & carbon trading systems.
Subject Synopsis/ Indicative Syllabus	Topic 1: Corporate social responsibility (CSR) - Theories of CSR - The role of shareholders and other various stakeholders - The impacts of CSR on firm performance, financing cost and market competition Topic 2: CSR disclosure and ESG reporting - Corporate voluntary and mandatory CSR disclosure - ESG reporting by external rating agencies - International frameworks - Standardization of CSR disclosure and ESG reporting Topic 3: History and background to ESG investing

	• An historical overview • Differentiating between socially focused investing, governance focused investing and environment focused investing • The size and growth of the ESG marketplace Topic 4: Approaches to ESG investing • Exclusion-based ESG investing • Integration-based ESG investing • Impact & engagement-based ESG investing Topic 5: Sustainable finance-ESG related products • Green and climate bonds • Social bonds • Sustainability bonds • ESG mutual funds Topic 6: Carbon pricing & carbon trading systems • Climate risk and global warming challenges • Carbon pricing • Carbon taxes Vs emissions trading systems • Carbon pricing policies and global cooperation or competition																																						
Teaching/Learning Methodology	This subject comprises of class-contact lectures and workshops. The class-contact lectures will introduce the key concepts, principles, regulations, disclosures, and challenges for ESG issues, various approaches to ESG investing, and important economic and finance concepts/principles related to CSR. Workshops will be conducted in the form of case analysis, group project discussion and presentation. For the individual case analysis, students are expected to apply their knowledge learned from this subject to analyse the underlying drivers, benefits and costs of firms’ ESG practices and investors’ investment. For the group project, students are expected to apply the ESG principles and investing approaches to construct an appropriate ESG investment strategy in order to achieve some assigned ESG targets.																																						
Assessment Methods in Alignment with Intended Learning Outcomes	<table><tr><th rowspan="2">Specific assessment methods/tasks</th><th rowspan="2">% weighting</th><th colspan="6">Intended subject learning outcomes to be assessed (Please tick as appropriate)</th></tr><tr><th>a</th><th>b</th><th>c</th><th>d</th><th>e</th><th></th></tr><tr><td>1. Class Participation</td><td>10%</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td><td></td></tr><tr><td>2. Case Analysis</td><td>40%</td><td>✓</td><td>✓</td><td></td><td></td><td></td><td></td></tr><tr><td>3. Final Project and Presentation</td><td>50%</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td></tr></table>	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)						a	b	c	d	e		1. Class Participation	10%	✓	✓	✓	✓			2. Case Analysis	40%	✓	✓					3. Final Project and Presentation	50%	✓	✓	✓	✓	✓	
Specific assessment methods/tasks	% weighting			Intended subject learning outcomes to be assessed (Please tick as appropriate)																																			
		a	b	c	d	e																																	
1. Class Participation	10%	✓	✓	✓	✓																																		
2. Case Analysis	40%	✓	✓																																				
3. Final Project and Presentation	50%	✓	✓	✓	✓	✓																																	

	Total	100 %	
	Explanation of the appropriateness of the assessment methods in assessing the intended learning outcomes: Class Participation: Students have to read assigned reading materials and participate actively in class discussion including raising questions, discussing the in-class cases and mini-exercises. The purpose of assessing class participation is to encourage students to actively read pre-class materials, and get timely feedback about students' learning process and understanding level. Case Analysis: Each student has to analyse at least two cases. The assigned cases and case questions will be sent to students one week in advance. Students need submit an analysis report (no more than two pages with bullet points) prior to each in-class case discussion. The objectives of individual case analysis are to test students' understanding and application of relevant ESG concepts and techniques in real cases. Final Project and Presentation: Students need to form groups and work on an investment thesis from both investor perspective and managerial perspective. • Investor perspective: Students need to consider themselves as a fund manager of a private equity firm, a hedge fund firm, or a general asset management company (e.g., mutual funds) to make investment strategies to meet global challenges. • Managerial perspective: Students need to consider themselves as firm managers to integrate ESG into corporate management & strategy to attract investors. • Deliverables: (1) prospectus (3-5 pages); (2) Excel worksheet; (3) presentation and Q&As on Week 12&13 (all group members). Note that there are peer evaluations and individual assessment in this group project. The objectives of group project are to test students' ability in applying ESG concepts, principles and investing techniques into practices to meet targeted ESG goals required by asset managers and firm managers.		
Student Study Effort Expected	Class contact:		
	▪ Lectures		33 Hrs.
	▪ Cases discussion and group project presentation		6 Hrs.
	Other student study effort:		
	▪ Reading materials/textbook/cases		26 Hrs.
	▪ Preparing for class discussion and assignments		52 Hrs.

	Total student study effort	117 Hrs.
Reading List and References	• Recommended reference book: “Grow the Pie” by Alex Edmans (2020) (https://www.growthepie.net/) • Cases (e.g. Harvard Business School Case and Singapore Management University Case) - important for having a deeper understanding of a particular project or strategy. • Academic papers - important for understanding the “big picture” and fostering systematic thinking. For example: • Baldauf, Garlappi, Yannelis (2019, “Does Climate Change Affect Real Estate Prices?” <i>Review of Financial Studies</i>) • Dhaliwal, Li, Tsang and Yang (2011, “Voluntary Nonfinancial Disclosure and the Cost of Equity Capital: The Initiation of Corporate Social Responsibility Reporting” <i>Accounting Review</i>) • Dimson, Karakaş and Li (2015, “Active Ownership” <i>Review of Financial Studies</i>) • Flammer C. (2015, “Does corporate social responsibility lead to superior financial performance? A regression discontinuity approach” <i>Management Science</i>)	